

The Board of Directors of The Co-operative Bank of Kenya Limited is pleased to announce the Audited results of the Group and the Bank for the Period ended June 30, 2008

	GROUP				BANK			
	30 Jun 08 KSHS.'000	31 Mar 08 KSHS.'000	31 Dec 07 KSHS.'000	30 Jun 07 KSHS.'000	30 Jun 08 KSHS.'000	31 Mar 08 KSHS.'000	31 Dec 07 KSHS.'000	30 Jun 07 KSHS.'000
I BALANCE SHEET								
A ASSETS	(Audited)	(Un-audited)	(Audited)	(Un-audited)	(Audited)	(Un-audited)	(Audited)	(Un-audited)
1 Cash (local and foreign)	2,048,397	2,040,160	2,405,929	1,260,911	2,048,397	2,040,160	2,405,929	1,260,911
2 Balances due from								
Central Bank Of Kenya	3,281,133	7,295,022	3,619,337	4,078,454	3,281,133	7,295,022	3,619,337	4,078,454
3 Kenya Government securities	7,894,573	6,006,855	9,666,552	10,426,180	7,894,573	5,945,700	9,666,552	10,415,943
4 Foreign Currency Treasury bills and bonds	-	-	-	-	-	-	-	-
5 Deposits and balances due from local banking institutions	1,850,000	50,000	34,719	1,180,800	1,850,000	50,000	34,719	1,180,800
6 Deposits and balances due from banking institutions abroad	3,232,246	1,955,097	1,738,699	2,920,331	3,232,246	1,955,097	1,738,699	2,920,331
7 Government and other securities held for dealing purposes	3,159,616	2,684,950	3,278,530	1,883,326	3,092,318	2,684,950	3,208,908	1,883,326
8 Tax recoverable	27,731	-	-	-	25,323	-	-	-
9 Loans and advances to customers (net)	43,404,264	38,730,572	38,429,473	30,063,801	43,410,557	38,734,383	38,432,703	30,064,880
10 Investment Securities	36,819	36,819	36,819	38,099	36,819	36,819	36,819	38,099
11 Balances due from group companies	-	-	-	-	1,943	-	-	-
12 Investments in associates	-	-	-	-	-	-	-	-
13 Investments in subsidiary companies	-	40,000	-	40,000	100,000	100,000	100,000	100,000
14 Investment in joint ventures	-	-	-	-	-	-	-	-
15 Investment in properties	-	-	-	-	-	-	-	-
16 Property and equipment	3,412,266	3,210,165	3,107,229	2,856,078	3,407,634	3,206,219	3,102,932	2,852,563
17 Prepaid lease rentals	41,622	41,776	41,933	42,265	41,622	41,776	41,933	42,265
18 Intangible assets	175,472	158,751	156,335	156,648	171,662	158,751	156,335	156,648
19 Deferred tax asset	62,922	17,620	17,620	152,839	63,393	17,650	17,650	152,839
20 Retirement benefit asset	-	-	-	-	-	-	-	-
21 Other assets	3,446,574	6,031,045	3,175,730	3,650,064	3,360,626	5,972,375	3,134,337	3,564,682
22 TOTAL ASSETS	72,073,635	68,298,832	65,708,905	58,749,796	72,018,246	68,238,902	65,696,853	58,711,741
B LIABILITIES								
23 Balances due to								
Central Bank Of Kenya	-	-	-	-	-	-	-	-
24 Customer deposits	59,066,266	53,970,770	54,775,390	50,783,186	59,071,671	53,973,650	54,775,390	50,783,434
25 Deposits and balances due to local banking institutions	3,288,319	3,572,926	1,422,611	246,007	3,288,317	3,572,926	1,422,611	246,007
26 Deposits and balances due to foreign banking institutions	267,544	-	-	195,886	267,544	-	-	195,886
27 Other money market deposits	30,000	-	-	-	30,000	-	-	-
28 Borrowed funds	45,658	75,658	45,658	338,286	45,658	75,658	45,658	338,286
29 Balances due to group companies	-	-	-	-	3,799	-	1,250	-
30 Tax payable	-	475,222	233,951	134,177	-	472,470	234,067	134,177
31 Dividends payable	-	-	-	-	-	-	-	-
32 Deferred tax liability	-	-	-	-	-	-	-	-
33 Retirement benefit liability	-	-	-	-	-	-	-	-
34 Other liabilities	1,834,420	3,182,395	2,375,803	1,577,429	1,825,666	3,178,013	2,410,471	1,574,606
35 Total liabilities	64,532,207	61,276,971	58,853,413	53,274,971	64,532,655	61,272,717	58,889,447	53,272,396
C SHAREHOLDERS' EQUITY								
36 Paid up/assigned capital	2,933,090	2,858,134	2,856,450	2,661,038	2,933,090	2,858,134	2,856,450	2,661,038
37 Share premium/(discount)	-	-	-	-	-	-	-	-
38 Revaluation reserve	305,044	306,720	306,720	309,763	305,177	306,706	306,706	309,763
39 Retained earnings/ Accumulated losses	3,636,565	2,956,651	2,402,152	1,816,848	3,580,595	2,900,989	2,354,080	1,781,368
40 Statutory Loan Loss Reserve	-	-	384,701	-	-	-	384,701	-
41 Proposed dividends	-	228,516	228,516	-	-	228,516	228,516	-
42 Capital grants	666,729	671,840	676,953	687,176	666,729	671,840	676,953	687,176
43 TOTAL SHAREHOLDERS' FUNDS	7,541,428	7,021,861	6,855,492	5,474,825	7,485,591	6,966,185	6,807,406	5,439,345
44 TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	72,073,635	68,298,832	65,708,905	58,749,796	72,018,246	68,238,902	65,696,853	58,711,741

	GROUP				BANK			
	30 Jun 08 KSHS.'000	31 Mar 08 KSHS.'000	31 Dec 07 KSHS.'000	30 Jun 07 KSHS.'000	30 Jun 08 KSHS.'000	31 Mar 08 KSHS.'000	31 Dec 07 KSHS.'000	30 Jun 07 KSHS.'000
II PROFIT AND LOSS ACCOUNTS								
1.0 INTEREST INCOME	(Audited)	(Un-audited)	(Audited)	(Un-audited)	(Audited)	(Un-audited)	(Audited)	(Un-audited)
1.1 Loans and advances	2,620,641	1,246,401	4,085,719	1,867,720	2,620,641	1,246,401	4,085,719	1,867,720
1.2 Government securities	625,763	344,634	1,290,586	606,101	621,746	342,616	1,285,849	602,725
1.3 Deposits and placements with banking Institutions	6,454	19,490	37,373	10,338	6,454	19,490	37,373	10,338
1.4 Other Interest Income	29,852	619	106,147	54,057	29,853	619	105,381	54,057
1.5 Total Interest Income	3,282,710	1,611,144	5,519,825	2,538,216	3,278,694	1,609,126	5,514,322	2,534,839
2.0 INTEREST EXPENSE								
2.1 Customer deposits	665,735	303,282	889,908	390,561	665,735	303,282	889,908	390,561
2.2 Deposits and placements from banking institutions	105,221	34,992	61,764	26,169	105,221	34,992	61,764	26,169
2.3 Other Interest Expenses	14,804	13,958	48,760	24,139	14,804	13,958	48,760	24,139
2.4 Total Interest Expenses	785,760	352,232	1,000,432	440,869	785,760	352,232	1,000,432	440,869
3.0 NET INTEREST INCOME/(LOSS)	2,496,950	1,258,912	4,519,393	2,097,347	2,492,934	1,256,894	4,513,890	2,093,970
4.0 NON- OPERATING INCOME								
4.1 Fees and commissions on loans and advances	280,029	65,867	509,831	122,219	280,029	65,867	509,831	97,149
4.2 Other Fees and commissions	1,242,754	657,360	2,399,296	1,311,078	1,202,276	637,362	2,337,171	1,311,078
4.3 Foreign exchange trading income/(loss)	284,458	131,742	414,221	167,881	284,458	131,742	414,221	167,881
4.4 Dividend income	-	-	-	-	-	-	-	-
4.5 Other income	413,739	37,390	433,114	82,824	412,315	36,960	421,559	75,896
4.6 Total Non-interest income	2,220,980	892,359	3,756,462	1,684,002	2,179,078	871,931	3,682,782	1,652,004
5.0 TOTAL OPERATING INCOME	4,717,930	2,151,271	8,275,855	3,781,349	4,672,012	2,128,825	8,196,672	3,745,974
6.0 OTHER OPERATING EXPENSES								
6.1 Loan loss provision	300,253	150,000	699,891	350,000	300,253	150,000	699,891	350,000
6.2 Staff costs	1,406,044	619,174	2,419,776	1,143,622	1,387,323	612,576	2,394,659	1,132,413
6.3 Directors' emoluments	30,626	10,962	55,678	25,483	26,018	9,590	48,074	21,713
6.4 Rentals charges	172,078	69,368	196,207	97,468	171,036	68,848	194,124	96,558
6.5 Depreciation charge on property and equipment	179,154	87,010	332,854	130,085	178,490	86,659	331,675	129,543
6.6 Amortisation charges	26,439	13,046	56,337	19,582	26,308	13,046	56,337	19,582
6.7 Other operating expenses	928,042	396,489	2,196,588	898,416	919,067	393,346	2,184,251	893,153
6.8 Total other operating expenses	3,042,636	1,346,049	5,957,331	2,664,656	3,008,495	1,334,065	5,909,011	2,642,962
7.0 Profit/(Loss) before tax and exceptional items	1,675,294	805,222	2,318,524	1,116,693	1,663,517	794,760	2,287,661	1,103,013
8.0 Exceptional items	-	-	-	-	-	-	-	-
9.0 Profit/(Loss) before tax	1,675,294	805,222	2,318,524	1,116,693	1,663,517	794,760	2,287,661	1,103,013
10 Current tax	(478,055)	(241,709)	(632,241)	(333,768)	(474,617)	(238,428)	(625,074)	(330,904)
11 Deferred tax	44,646	-	(136,678)	-	45,087	-	(136,499)	-
12 Profit/(loss) after tax and exceptional items	1,241,885	563,513	1,549,605	782,925	1,233,987	556,332	1,526,088	772,109

	30 Jun 08 KSHS.'000	31 Mar 08 KSHS.'000	31 Dec 07 KSHS.'000	30 Jun 07 KSHS.'000	30 Jun 08 KSHS.'000	31 Mar 08 KSHS.'000	31 Dec 07 KSHS.'000	30 Jun 07 KSHS.'000
III OTHER DISCLOSURES								
1. NON PERFORMING LOANS AND ADVANCES	(Audited)	(Un-audited)	(Audited)	(Un-audited)	(Audited)	(Un-audited)	(Audited)	(Un-audited)
a) Gross non-performing loans and advances	8,841,424	8,673,313	8,725,712	19,228,908	8,841,424	8,673,313	8,725,712	19,228,908
Less								
b) Interest in suspense	2,793,890	2,776,776	2,795,015	8,475,895	2,793,890	2,776,776	2,795,015	8,475,895
c) Total Non-performing loans (a-b) Less	6,047,534	5,896,537	5,930,697	10,753,013	6,047,534	5,896,537	5,930,697	10,753,013
d) Loan loss provisions	4,174,177	3,997,434	4,075,665	8,487,686	4,174,177	3,997,434	4,075,665	8,487,686
e) Net Non performing loans (c-d)	1,873,357	1,899,103	1,855,032	2,265,327	1,873,357	1,899,103	1,855,032	2,265,327
f) Realizable Value of Securities	1,873,357	1,899,103	1,855,032	2,224,346	1,873,357	1,899,103	1,855,032	2,224,346
g) Net NPLs Exposure (e-f)	-	-	-	40,981	-	-	-	40,981
2. Insider loans and advances								
a) Directors, Shareholders and associates	143,739	142,629	128,847	71,927	143,739	142,629	128,847	71,927
b) Employees	2,081,214	1,926,446	1,769,491	1,517,087	2,081,214	1,926,446	1,769,491	1,517,087
c) Total insider loans, Advances and Other Facilities	2,224,953	2,069,075	1,898,338	1,589,014	2,224,953	2,069,075	1,898,338	1,589,014
3. Off-Balance Sheet Items								
a) Letters of credit, guarantees, acceptances	3,873,443	2,178,980	2,083,413	3,291,173	3,873,443	2,178,980	2,083,413	3,291,173
b) Other contingent liabilities	-	-	-	-	-	-	-	-
c) Total contingent liabilities	3,873,443	2,178,980	2,083,413	3,291,173	3,873,443	2,178,980	2,083,413	3,291,173

4. Capital strength

- a) Core capital
- b) Minimum Statutory Capital
- c) Excess/(Deficiency)
- d) Supplementary capital
- e) Total capital (a+d)
- f) Total risk weighted assets
- g) Core capital/total deposit liabilities
- h) Minimum Statutory Ratio
- i) Excess/(Deficiency)
- j) Core capital/total risk weighted assets
- k) Minimum Statutory Ratio
- l) Excess/(Deficiency)(j-k)
- m) Total capital/total risk weighted assets
- n) Minimum Statutory Ratio
- o) Excess/(Deficiency)(m-n)

5. Liquidity

- a) Liquidity Ratio
- b) Minimum Statutory Ratio
- c) Excess/(Deficiency)(a-b)

30 Jun 08 KSHS.'000	31 Mar 08 KSHS.'000	31 Dec 07 KSHS.'000	30 Jun 07 KSHS.'000
(Audited)	(Un-audited)	(Audited)	(Un-audited)
6,557,701	6,147,077	5,881,761	4,736,524
250,000	250,000	250,000	250,000
6,307,701	5,897,077	5,631,761	4,486,524
151,952	152,335	122,336	415,727
6,709,653	6,299,412	6,004,097	5,152,251
48,384,000	43,989,340	41,369,150	38,180,751
10.5%	11.2%	10.5%	9.3%
8.0%	8.0%	8.0%	8.0%
2.5%	3.2%	2.5%	1.3%
13.5%	14.0%	14.3%	12.4%
8.0%	8.0%	8.0%	8.0%
5.5%	6.0%	6.3%	4.4%
13.8%	14.3%	14.5%	13.5%
12.0%	12.0%	12.0%	12.0%
1.8%	2.3%	2.5%	1.5%
35.7%	25.8%	33.5%	37.4%
20.0%	20.0%	20.0%	20.0%
15.7%	5.8%	13.5%	17.4%